

By raising India's credit rating, S&P affirms optimism about growth

Last week, S&P Global Ratings raised India's long-term **sovereign credit rating** from BBB- to BBB. A **BBB rating**, which is at the lower end of the investment grade **rung**, **indicates** adequate capacity to repay **obligations**. S&P's **rationale** for the upgrade **rests on** the pillars of "buoyant" growth, the "commitment" to **fiscal consolidation**, improved "quality" of spending and **anchored inflationary** expectations. Coming at a time of **acute** economic uncertainty, **the ratings action** — this is the first upgrade by the agency in 18 years — **reaffirms** India's growth **prospects**, **underlines** its **resilience** and its "**remarkable**" recovery from the pandemic.

S&P has **projected** the Indian economy to grow from around \$3.9 trillion in 2024 to about \$5.5 trillion by 2028, with growth averaging roughly 6.8 per cent over the next few years. This is **marginally** higher than other **assessments**, such as by the IMF. In its April World Economic Outlook, the Fund had **pegged** the economy to grow at around 6.3 per cent over this period. The ratings agency is **strikingly less pessimistic** about the impact of Trump's tariffs on the Indian economy, expecting it to be "manageable" and not **pose** a "**material drag** on growth". This is based on its view that India is "relatively less **reliant on** trade" (exports to US are roughly 2 per cent of GDP), and more on domestic consumption. There is, however, a **cautionary** note here. This assessment is **at odds with** views expressed by several analysts who believe that not only will there be a direct impact of high tariffs but that there will also be an indirect impact which could **reflect** in the form of lower investment flows into the country.

The government's debt-deficit **dynamics** is another area of improvement **flagged** by the ratings agency. **General government debt** (Centre and states put together) **had surged** during the pandemic. However, since then, governments have stayed on the path of consolidation, bringing down their **deficits** and **debts**. The ratings agency expects the general **government deficit** to fall from 7.3 per cent of GDP in 2025-26 to 6.6 per cent by 2028-29. **Alongside**, it **projects** the debt to GDP ratio to decline from 83 per cent in **fiscal** 2025 to 78 per cent by fiscal 2029, bringing it "closer to its pre-pandemic level." While progress has been faster than what was **envisaged** by the Finance Commission, the **path** of consolidation **must** continue to be **adhered to**. S&P has, in fact, **cautioned** about not doing so, saying that "We may lower the ratings if we observe an **erosion** of political commitment to **consolidate** public finances."

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Affirm** (verb) – confirm, assert, avow, maintain, uphold पुष्टि करना
2. **Optimism** (noun) – positivity, hopefulness, confidence, sanguineness, bullishness आशावाद
3. **Sovereign credit rating** (noun) – an independent assessment of the creditworthiness of a country or sovereign entity.
4. **Rung** (noun) – step, tier, level, gradation, echelon पायदान
5. **Obligation** (noun) – duty, liability, responsibility, commitment, indebtedness दायित्व
6. **Rationale** (noun) – reasoning, justification, basis, logic, grounds तर्काधार
7. **Rest** (on) (verb) – depend on, hinge on, be based on, rely on, be founded on निर्भर होना
8. **Buoyant** (adjective) – upbeat, robust, lively, positive, bullish उछालभरा
9. **Commitment** (noun) – pledge, dedication, resolve, undertaking, adherence प्रतिबद्धता
10. **Fiscal consolidation** (noun) – a government's policy of reducing its budget deficit and managing public debt, typically through a combination of increased revenue and reduced spending.
11. **Anchored** (adjective) – fixed, moored, grounded, pegged, secured स्थिर
12. **Acute** (adjective) – severe, intense, sharp, pressing, urgent तीव्र
13. **Reaffirm** (verb) – restate, confirm, reassert, underscore, reiterate पुनर्पुष्टि करना
14. **Prospect** (noun) – possibility, likelihood, outlook, chance, potential संभावना
15. **Underline** (verb) – emphasize, underscore, highlight, stress, accentuate ज़ोर देना
16. **Resilience** (noun) – toughness, durability, hardiness, elasticity, bounce-back मज़बूती
17. **Remarkable** (adjective) – notable, striking, extraordinary, exceptional, impressive उल्लेखनीय
18. **Project** (verb) – forecast, estimate, predict, envisage, anticipate अनुमानित करना
19. **Marginally** (adverb) – slightly, somewhat, modestly, narrowly, a little थोड़ा
20. **Assessment** (noun) – evaluation, appraisal, analysis, estimate, review आकलन
21. **Peg** (verb) – set, fix, pin, benchmark, cap तय करना

22. **Strikingly** (adverb) – notably, markedly, conspicuously, remarkably, vividly
उल्लेखनीय-रूप से
23. **Pessimistic** (adjective) – gloomy, downbeat, bearish, negative, despondent
निराशावादी
24. **Pose** (verb) – present, create, constitute, threaten, raise उत्पन्न करना
25. **Material** (adjective) – significant, substantive, meaningful, considerable, nontrivial महत्वपूर्ण
26. **Drag** (noun) – hindrance, brake, headwind, burden, dampener रुकावट
27. **Reliant** (on) (adjective) – dependent on, contingent on, tied to, anchored to, leaning on निर्भर
28. **Cautionary** (adjective) – warning, admonitory, preventive, prudential, cautioning चेतावनीसूचक
29. **At odds with** (phrase) – in conflict with, at variance with, contrary to, inconsistent with, opposed to असंगत
30. **Reflect** (verb) – mirror, indicate, reveal, manifest, show प्रकट करना
31. **Dynamics** (noun) – interplay, forces, mechanics, movement, momentum गतिशीलता
32. **Flag** (verb) – highlight, signal, mark, point out, raise इंगित करना
33. **Surge** (verb) – soar, spike, jump, escalate, shoot up उछाल आना
34. **Deficit** (noun) – shortfall, gap, imbalance, deficiency, red ink घाटा
35. **Debt** (noun) – liabilities, borrowings, obligations, indebtedness, public debt ऋण
36. **Government deficit** (noun) – a negative balance between a government's spending and revenues. When a government spends more than it collects in tax revenues, there is a deficit. सरकारी घाटा
37. **Alongside** (adverb) – together with, along with, concurrently, in parallel, beside के-साथ-साथ
38. **Fiscal** (adjective) – budgetary, public-finance, treasury-related, tax-and-spend, governmental वित्तीय
39. **Envisage** (verb) – envision, foresee, imagine, conceive, contemplate परिकल्पना करना
40. **Adhere** (to) (verb) – stick to, abide by, comply with, follow, hold to पालन करना
41. **Caution** (verb) – warn, advise, alert, admonish, forewarn चेतावनी देना

42. **Erosion** (noun) – deterioration, attrition, depletion, wearing-away, undermining
क्षरण

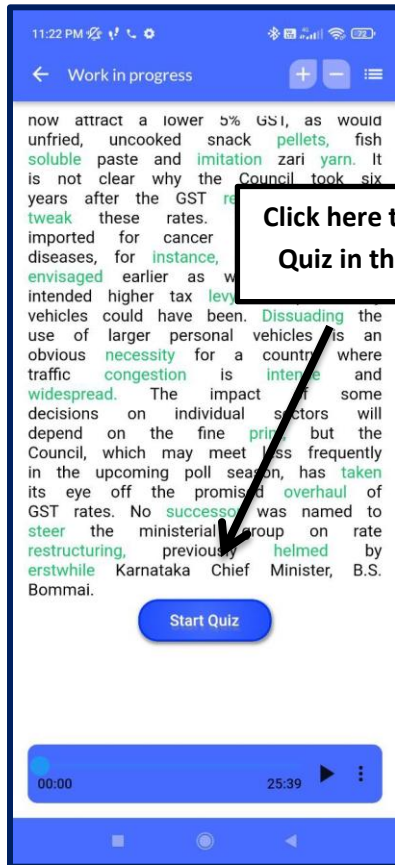
43. **Consolidate** (verb) – strengthen, firm up, solidify, stabilize, integrate सुदृढ़ करना

@mocks_wallah

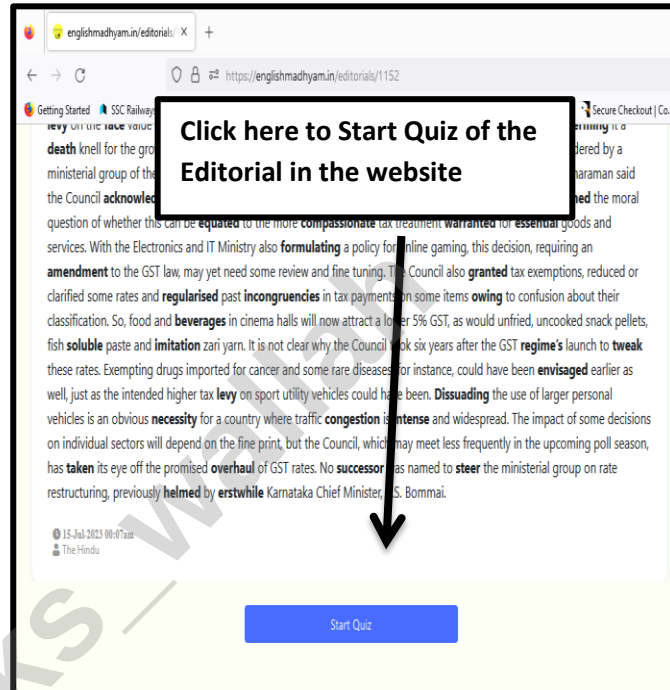
Summary of the Editorial

1. S&P Global Ratings has upgraded India's long-term sovereign credit rating from BBB- to BBB after 18 years.
2. A BBB rating indicates an adequate capacity to repay obligations and is still at the lower end of investment grade.
3. The upgrade rests on four pillars: buoyant growth, fiscal consolidation, quality spending, and anchored inflation expectations.
4. The move comes amid global economic uncertainty, reaffirming India's resilience and post-pandemic recovery.
5. S&P projects India's economy to expand from \$3.9 trillion in 2024 to \$5.5 trillion by 2028.
6. Average growth is expected at 6.8%, slightly higher than IMF's projection of 6.3% in its April World Economic Outlook.
7. S&P is less pessimistic about the impact of Trump's tariffs, calling them "manageable."
8. The agency notes India's low reliance on trade (exports to the US $\approx$ 2% of GDP) and stronger domestic consumption.
9. However, analysts caution that tariffs could indirectly affect investment inflows into India.
10. On debt-deficit dynamics, S&P highlights progress since the pandemic surge in borrowing.
11. India's general government deficit is expected to fall from 7.3% of GDP in 2025-26 to 6.6% by 2028-29.
12. The debt-to-GDP ratio is projected to decline from 83% in FY25 to 78% in FY29, nearing pre-pandemic levels.
13. Fiscal consolidation is happening faster than Finance Commission expectations.
14. S&P warns that failure to continue fiscal consolidation could trigger a downgrade.
15. Overall, the rating upgrade is a vote of confidence in India's growth story, but sustaining fiscal discipline remains crucial.

Practice Exercise: Banking Pattern Based



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